



Iron and Steel Act 1975

1975 CHAPTER 64

An Act to consolidate certain enactments relating to the British Steel Corporation and the iron and steel industry.
[12th November 1975]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

PART I

BRITISH STEEL CORPORATION AND PUBLICLY-OWNED COMPANIES

1.—(1) There shall continue to be a public authority called British Steel the British Steel Corporation (in this Act referred to as “the Corporation”), which shall have such powers and duties as are conferred and imposed on them by, or by virtue of, this Act.

(2) The Corporation shall be a body corporate having perpetual succession and a common seal.

(3) The Corporation shall consist of a chairman and not less than seven nor more than twenty other members.

(4) The chairman and the other members of the Corporation shall be appointed by the Secretary of State from amongst persons appearing to him to have had wide experience of, and shown capacity in, the production of iron ore or iron or steel, industrial, commercial or financial matters, applied science, administration or the organisation of workers.

PART I

(5) The appointment of a member of the Corporation, other than the chairman, shall not be made by the Secretary of State except after consultation with the chairman.

(6) As soon as possible after appointing a person to be a member of the Corporation the Secretary of State shall lay before each House of Parliament a statement of the term for which he has been appointed.

(7) The provisions of Schedule 1 to this Act shall have effect in relation to the Corporation.

General duty
of the
Corporation.

2.—(1) It shall be incumbent on the Corporation—

- (a) to promote the efficient and economical supply by the Corporation and the publicly-owned companies of iron and steel products, and to secure that those products of the Corporation and the publicly-owned companies are available in such quantities, and are of such types, qualities and sizes, and are available at such prices, as may seem to the Corporation best calculated to satisfy the reasonable demands of the persons (including those in Northern Ireland) who use those products for manufacturing purposes and to further the public interest in all respects ;
- (b) to secure that neither the Corporation nor a publicly-owned company shall show undue preference to, or exercise unfair discrimination against, any such persons, or any class of such persons, in the supply and price of iron and steel products, but without prejudice to any variations in the terms and conditions of supply of those products which may arise from ordinary commercial considerations or from the public interest ;
- (c) to take such steps as appear to the Corporation to be practicable and desirable for the promotion of the export of iron and steel products and of other products of the Corporation or a publicly-owned company ; and
- (d) to take such steps, in accordance with a general programme settled from time to time with the approval of the Secretary of State, as appear to the Corporation to be practicable and desirable for—
 - (i) the promotion of research into matters affecting, or arising out of, the carrying on of iron and steel activities or of any other activities carried on by the Corporation or a publicly-owned company ; and
 - (ii) the doing of such work as is requisite to enable the results of research of that kind, whether promoted by the Corporation or not, to be turned to

PART I

account or to enable the consequence of an idea affecting, or arising out of, the carrying on of those activities to be turned to account, either by themselves prosecuting or doing it or by their promoting it by a publicly-owned company or by others.

(2) Where the Corporation promote research or the doing of work otherwise than by themselves prosecuting or doing it, they may give assistance, including financial assistance, for that purpose.

(3) The policy of the Corporation shall be directed to securing the safety, health and welfare of persons employed by them and by the publicly-owned companies.

(4) Nothing in subsection (1) above shall be construed as imposing upon the Corporation, either directly or indirectly, any form of duty or liability enforceable in any court.

(5) Nothing in the foregoing provisions of this section or in section 3 of this Act shall be construed as—

- (a) imposing on the Corporation any duty to carry on, or to secure the carrying on by the Corporation and publicly-owned companies, of iron and steel activities except to such extent as the Corporation think fit; or
- (b) precluding the Corporation from disposing of an asset used, or capable of use, for the purpose of any of those activities or from disposing of any interest in a company in which any such asset is vested.

(6) In determining the location of their commercial and administrative offices the Corporation shall have regard to the location of the manufacturing activities under their ultimate control and to the desirability of distributing major commercial and administrative offices throughout Great Britain.

3.—(1) Subject to the provisions of this Act, the Corporation shall have power—

Powers of the Corporation.

- (a) to carry on any iron and steel activities and to sell iron and steel products; and
- (b) with the consent of, or in accordance with the terms of any general authority given by, the Secretary of State, to carry on any other activities which any publicly-owned company is for the time being authorised by its memorandum of association or by its charter of incorporation or other charter, as the case may be, to carry on, or which any company that was at any time publicly-owned was at any time so authorised to carry on.

PART I

(2) Nothing in subsection (1) above shall empower the Corporation to hold or acquire interests in any company or to form, or take part in forming, any company.

(3) Subject to the provisions of this Act, the Corporation shall have power—

1967 c. 17.

(a) to hold interests in companies which were vested in them under, or by virtue of, the Iron and Steel Act 1967 ;

(b) with the consent of, or in accordance with the terms of any general authority given by, the Secretary of State, to acquire by agreement, and to hold, interests in other companies ;

(c) with the consent of, or in accordance with the terms of any general authority given by, the Secretary of State, to form, or take part in forming, companies ; and

(d) to exercise all rights conferred by the holding of interests in companies.

(4) The Corporation shall have power to provide for any group of companies (whether consisting of all or any of the publicly-owned companies, other companies or both) any services which, in the opinion of the Corporation, can conveniently be provided as common services therefor ; and for the purposes of this subsection the Corporation shall be entitled to treat themselves as being included amongst the publicly-owned companies.

(5) The Corporation shall have power to do any thing or to enter into any transaction (whether or not involving the expenditure of money, the borrowing of money in accordance with the provisions of this Act, the lending of money, the acquisition of any property or rights or the disposal of any property or rights) which in their opinion is calculated to facilitate the proper carrying on of their activities under subsection (1) above or the proper exercise of their powers under subsection (3) or (4) above.

(6) Any reference in this section to interests in a company includes a reference to rights in respect of money lent to the company or guarantees given for the benefit of the company.

(7) The provisions of this section relate only to the capacity of the Corporation as a statutory corporation, and nothing in those provisions shall be construed as authorising the disregard by the Corporation of any enactment or rule of law.

General powers of the Secretary of State in relation to the Corporation.

4.—(1) The Secretary of State may, after consultation with the Corporation, give to the Corporation directions of a general character as to the exercise and performance by the Corporation of their functions (including the exercise of rights conferred by the holding of interests in companies) in relation to matters

which appear to him to affect the national interest; and the Corporation shall give effect to any directions so given.

PART I

(2) The power to give directions to the Corporation under this section shall, notwithstanding the limitation therein to the giving of directions of a general character, extend to the giving to them of directions of a general or specific character which appear to the Secretary of State to be requisite to secure that the carrying on of the activities that have fallen to be carried on under their ultimate control is organised, so far as regards the direction thereof, in the most efficient manner.

(3) The Corporation shall not make, or permit to be made, any substantial change in the manner in which the carrying on of the activities that have fallen to be carried on under their ultimate control is organised, so far as regards the direction thereof, except with the consent of the Secretary of State or in pursuance of a direction given by him by virtue of subsection (2) above.

(4) In carrying out any measure of reorganisation or any work of development which involves substantial outlay on capital account, and in securing the carrying out by publicly-owned companies of any such measure or work, the Corporation shall act in accordance with a general programme settled from time to time with the approval of the Secretary of State.

(5) Without prejudice to the provisions of subsection (1) or (4) above but subject as provided in subsection (6) below, the Secretary of State may, after consultation with the Corporation, by order, give to the Corporation directions—

- (a) to discontinue or restrict any of their activities (other than iron and steel activities carried on in Great Britain) or to dispose of any part of their assets (other than assets in Great Britain used, or capable of use, in the production of iron and steel products); or
- (b) to secure the discontinuance or restriction of any of the activities of a publicly-owned company (other than iron and steel activities carried on in Great Britain), or the disposal of the whole or any part of the assets of any such company (other than assets in Great Britain used, or capable of use, as aforesaid), or the winding up of any such company;

and the Corporation shall give effect to any directions so given.

(6) The Secretary of State shall not give any direction under subsection (5) above unless he is satisfied that effect can be given to it without prejudicing the proper discharge of the duties of the Corporation under this Act.

PART I

Duty to
review affairs
and report to
the Secretary
of State.

5.—(1) It shall be the duty of the Corporation, so often as occasion seems to them to require it or as the Secretary of State may require it, to undertake a review of their affairs for the purpose of determining whether the carrying on of the activities that have fallen to be carried on under their ultimate control is organised, so far as regards the direction thereof, in the most efficient manner, and to report their conclusions to the Secretary of State.

(2) Before reaching conclusions in consequence of a review undertaken in pursuance of subsection (1) above the Corporation shall seek consultation with organisations appearing to them to represent substantial proportions of the persons employed by the Corporation or the publicly-owned companies or of any class of such persons.

(3) The Corporation shall supply the Secretary of State with such returns, accounts and other information with respect to their property and activities, and the property and activities of the publicly-owned companies, as he may from time to time require.

(4) Without prejudice to subsection (3) above, the Corporation shall, as soon as possible after the end of each financial year of the Corporation, make to the Secretary of State a report on the exercise and performance by the Corporation of their functions during that year and on their policy and programme, and the report shall include a general account of the activities of their subsidiaries.

(5) The report made under subsection (4) above for any year shall set out any direction given by the Secretary of State to the Corporation during that year unless—

- (a) the Secretary of State has notified to the Corporation his opinion that it is against the interests of national security to do so; or
- (b) the Secretary of State accepts the contention of the Corporation that it is contrary to the commercial interests of the Corporation to do so.

(6) The provisions of Schedule 2 to this Act shall have effect with respect to the inclusion in reports under subsection (4) above of information respecting business of the Corporation and the publicly-owned companies consisting wholly or mainly in activities other than iron and steel activities.

(7) The Secretary of State shall lay before each House of Parliament a copy of every report made under subsection (1) or (4) above.

6.—(1) The Corporation shall from time to time publish, in such manner as appears to them best adapted for informing the persons affected, and in such form as appears to them appropriate, notices containing prices which they propose should normally be charged in the United Kingdom by them and publicly-owned companies for iron and steel products, and terms and conditions on which they propose iron and steel products should normally be sold in the United Kingdom by them and publicly-owned companies.

PART I
Publication of
prices,
conditions of
sale and
other
information.

(2) In a notice published under subsection (1) above the Corporation may provide for the variation of a price, term or condition contained in the notice according to such circumstances as may be specified in the notice.

(3) Subsection (1) above shall not apply to products of an activity specified in paragraph 4 or 6 of Schedule 3 to this Act except such, if any, of those products as may be specified in an order made by the Secretary of State under this subsection.

(4) The Secretary of State may give to the Corporation directions—

(a) to compile in a specified form, and to publish in a specified manner, specified statistics and returns relating either to the activities of the Corporation and the publicly-owned companies or to any of those activities which may be specified ;

(b) to make in a specified form, and to publish in a specified manner, specified forecasts with respect to the output of the Corporation and the publicly-owned companies of, and their capacity to produce, either iron and steel products or iron and steel products of any class which may be specified ;

and the Corporation shall give effect to any directions so given.

(5) Any directions given under subsection (4) above may require statistics and returns to be compiled, and forecasts to be made, either periodically or on a specified occasion.

(6) In subsections (4) and (5) above “specified” in relation to any directions means specified in those directions.

7.—(1) Except as provided in subsections (2) and (3) below, it shall be the duty of the Corporation to seek consultation with any organisation appearing to them to be appropriate with a view to the making of such agreements between the Corporation and that organisation as appear to the parties to be desirable with respect to the establishment and maintenance of machinery, for operation at national level or works level or any level falling

Machinery for
settling terms
and conditions
of employment.

PART I between those levels which appears to the Corporation to be appropriate, for the purposes of—

- (a) the settlement by negotiation of terms and conditions of employment of persons employed by the Corporation and by publicly-owned companies with provision for reference to arbitration in default of a settlement in such cases as may be determined by or under the agreements ; and
- (b) the promotion and encouragement of measures affecting efficiency, in any respect, in the carrying on by the Corporation and by publicly-owned companies of their activities ; and
- (c) the promotion and encouragement of measures affecting the safety, health and welfare of persons employed by the Corporation and by publicly-owned companies.

(2) The duty to seek consultation with any organisation under subsection (1) above may be performed by the Corporation either directly, or indirectly by exercising control over publicly-owned companies ; and, if the Corporation so decide, such consultation may be sought with a view to the making of such agreements as are referred to in that subsection between publicly-owned companies and any organisation.

(3) The Corporation are not required to seek consultation with any organisation under subsection (1) above in so far as they are satisfied that adequate machinery, for operation at any such level as is referred to in that subsection, exists for achieving the purposes specified in that subsection.

(4) The Corporation shall send to the Secretary of State copies of any such agreement as aforesaid and of any instrument varying the terms of any such agreement.

(5) Where it falls to the Corporation or a publicly-owned company to participate in the operation of machinery established under this section, and the operation involves discussion of a subject by other persons participating therein, the Corporation or the publicly-owned company, as the case may be, shall make available to those persons, at a reasonable time before the discussion is to take place, such information in their possession relating to the subject as, after consultation with those persons, appears to the Corporation or the publicly-owned company, as the case may be, to be necessary to enable those persons to participate effectively in the discussion.

(6) Nothing in this section shall be construed as prohibiting the Corporation or a publicly-owned company from taking part, together with other employers, or organisations of employers, in

PART I

the establishment and maintenance of machinery for the settlement of terms and conditions of employment and the promotion and encouragement of measures affecting the safety, health and welfare of persons employed by them, and in the discussion of other matters of mutual interest to them and persons employed by them.

8.—(1) The provisions of Schedule 4 to this Act shall have effect with respect to the provision of pensions to, or in respect of, persons employed or formerly employed by the Corporation and other bodies corporate and the payment of compensation to such persons, including provision for the making by the Secretary of State of regulations for all or any of those purposes. Pension rights and compensation of employees.

(2) The Secretary of State shall not make regulations under the provisions of the said Schedule 4 except after consultation with the Corporation and such organisations as appear to him to be representative of the persons concerned.

9.—(1) Subject to subsection (2) below, the Secretary of State may authorise the Corporation to purchase compulsorily any land required for the exercise and performance of their functions or the carrying on of any activity by a publicly-owned company; and the Acquisition of Land (Authorisation Procedure) Act 1946 shall apply as if the Corporation were a local authority within the meaning of that Act and as if this Act had been in force immediately before the commencement of that Act. Compulsory purchase of land.
1946 c. 49.

(2) The Secretary of State shall not under this section authorise the acquisition by the Corporation of any land for the purpose of the carrying on by them or any publicly-owned company of any activity, other than the working and getting of iron ore, if that land is being used wholly or mainly by any other person for the purpose of carrying on the same activity or for purposes incidental to the carrying on of that activity.

(3) In the application of subsection (1) above to Scotland, for the reference to the Acquisition of Land (Authorisation Procedure) Act 1946 there shall be substituted a reference to the Acquisition of Land (Authorisation Procedure) (Scotland) Act 1947 c. 42. 1947.

10. The Corporation may, with the consent of the Secretary of State, promote Bills in Parliament or orders under the Private Legislation Procedure (Scotland) Act 1936 and may, without any such consent, oppose any Bill in Parliament or any such order. Power to promote and oppose Bills, etc.
1936 c. 52.

PART I
Provisions as to publicly-owned companies.

11.—(1) A publicly-owned company shall not, except with the consent of, or in accordance with the terms of any general authority given by, the Secretary of State, acquire interests in a company or form, or take part in forming, a company.

(2) The provisions of Schedule 5 to this Act shall have effect with respect of the constitution and proceedings of any publicly-owned company so long as it remains in public ownership, notwithstanding any enactment or other instrument applicable to the company.

(3) When any company comes into public ownership or ceases to be in public ownership, the Corporation shall, as soon as possible thereafter, publish that fact in the London and Edinburgh Gazettes.

(4) The Corporation shall keep at their principal office a list, which shall be available for inspection during business hours, of the companies which are for the time being publicly-owned companies and of the other companies, to be shown separately, which are for the time being subsidiaries of the Corporation, and shall supply a copy of the list to any person on demand and on the payment of such reasonable charge as the Corporation may require.

(5) If any sum required by any judgment or order to be paid by a company which at the time of the judgment or order is a publicly-owned company, or has at any time since the cause of action arose been a publicly-owned company, is not paid by the company within fourteen days from the date on which execution becomes leviable to enforce the judgment or order, the Corporation shall be liable to pay that sum, and that judgment or order shall be enforceable against the Corporation accordingly.

(6) Where any such sum as is referred to in subsection (5) above is required to be paid in respect of a liability arising under a contract made by the company, the cause of action shall be deemed, for the purposes of that subsection, to have arisen at the time when the contract was made.

Transfer of property etc. and dissolution of publicly-owned companies.

12.—(1) The Secretary of State may, with respect to a publicly-owned company which was in public ownership on 30th April 1969, by order, vest all or any of its property, rights, liabilities and obligations in the Corporation.

(2) An order under subsection (1) above may make such provision as appears to the Secretary of State to be requisite or expedient in connection with, or in consequence of, the vesting.

(3) If at any time it appears to the Secretary of State that a publicly-owned company which was in public ownership on 30th April 1969 is void of property, rights, liabilities and obligations, he may, by order, dissolve it.

13.—(1) Except as provided in this section, nothing in this Taxation Act exempts the Corporation from liability for any tax, duty, liability of rate, levy or other charge whatsoever, whether general or local. Corporation.

(2) Where a company is formed by the Corporation or the amount of the capital of a subsidiary of the Corporation is increased, then, if the Treasury are satisfied that the formation of the company or the increase of capital, as the case may be, is—

(a) for the purpose of giving effect to a direction given by the Secretary of State by virtue of section 7(2) of the Iron and Steel Act 1967 or section 4(2) of this Act or 1967 c. 17. conclusions reported to the Secretary of State under section 4 of the said Act of 1967 or section 5(1) of this Act ; or

(b) for purposes that include that purpose ;

stamp duty shall not be chargeable under section 47 of the Finance Act 1973 on any document relating to a chargeable 1973 c. 51. transaction consisting of the formation of the company or the increase of capital except to the extent to which, in the opinion of the Treasury, the transaction goes beyond what is necessary for achieving that purpose.

(3) Where, in accordance with arrangements approved by the Secretary of State for the purposes of section 9 of the Iron and Steel Act 1969 or this subsection, a publicly-owned company 1969 c. 45. which was in public ownership on 30th April 1969 ceases to carry on a trade and the Corporation begin to carry on activities of that trade as part of their trade, section 252(3) of the Income and Corporation Taxes Act 1970 (company reconstructions 1970 c. 10. without change of ownership) shall, in its application to the company and the Corporation, have effect as if, after the words “carrying on the trade”, there were inserted the words “or any trade of which it has come to form part”.

(4) In the event of the dissolution of a company which was in public ownership both on 30th April 1969 and immediately before its dissolution, the Corporation shall be entitled to relief from corporation tax under section 265(1) of the Income and Corporation Taxes Act 1970 (computation of chargeable gains) for any amount for which the company, had it not been dissolved, would have been entitled to claim relief in respect of allowable losses.

PART II

FINANCE

General
financial
duties of the
Corporation.

14.—(1) Subject as provided in subsection (6) below, it shall be the duty of the Corporation so to exercise and perform their functions under this Act as to secure that the combined revenues of the Corporation and all the publicly-owned companies taken together are not less than sufficient to meet their combined charges properly chargeable to revenue account, taking one year with another.

(2) The Corporation shall—

(a) charge to revenue account in every year all charges which are proper to be made to revenue account including, in particular, proper provision for the depreciation or renewal of assets and proper allocations to general reserve ; and

(b) secure that the publicly-owned companies charge to revenue account in every year all charges which are proper to be made to revenue account including, in particular, proper provision for the depreciation or renewal of assets ;

and in this section “charges properly chargeable to revenue account” shall be construed in accordance with this subsection.

(3) If in any financial year of the Corporation the combined revenues of the Corporation and all the publicly-owned companies taken together (as shown in the statement prepared pursuant to section 24(1)(b) of this Act) exceed their combined charges properly chargeable to revenue account for that year (as so shown), it shall be incumbent on the Corporation to secure that the excess is, to such extent (if any) as the Secretary of State may direct, applied for such purposes of the Corporation and of the said companies as he may direct and, subject to that, is applied for such of those purposes as the Corporation may determine.

(4) The Secretary of State may from time time determine, with the approval of the Treasury and after consultation with the Corporation, as respects such period as the Secretary of State may so determine, the rate of return on net assets (as for the time being defined by the Secretary of State for the purposes of this subsection) which the Secretary of State considers it is reasonable for the Corporation to achieve in that period ; and the Secretary of State may, with the like approval and after such consultation as aforesaid, vary a determination under this subsection as respects any period by a further determination.

(5) The Secretary of State shall give notice to the Corporation of any determination under subsection (4) above.

PART II

(6) The Corporation shall conduct their affairs during any period as respects which a determination has been made under subsection (4) above with a view to achieving in that period a rate of return on net assets not less than that specified by the determination as for the time being in force, and the operation of subsection (1) above shall be suspended during any such period.

(7) The Secretary of State may, by order—

- (a) substitute for the duty imposed by subsection (6) above, a financial duty expressed otherwise than by reference to a rate of return on net assets ; and
- (b) for that purpose direct that subsections (4) to (6) above shall have effect subject to such modifications as may be specified in the order and make such other incidental and transitional provisions as appear to the Secretary of State to be necessary or expedient.

15.—(1) Without prejudice to the Corporation's power to establish specific reserves, they shall establish and maintain a general reserve.

(2) The management by the Corporation of their general reserve and the sums to be carried from time to time to the credit of, and the application of moneys comprised in, that general reserve shall, subject to the following provisions of this section, be as the Corporation may determine.

(3) None of the moneys comprised in the Corporation's general reserve shall be applied otherwise than for the purposes of the Corporation or of the publicly-owned companies.

(4) The power to give directions to the Corporation under section 4 of this Act shall, notwithstanding the limitation therein to the giving of directions of a general character, extend to the giving to them, with the approval of the Treasury, of directions of a general or specific character as to any matter relating to the establishment or management of the Corporation's general reserve or the carrying of sums to the credit of, or the application of the moneys comprised in, that general reserve.

16.—(1) The Corporation may borrow temporarily, by way of overdraft or otherwise, either from the Secretary of State or, with the consent of the Secretary of State and the approval of the Treasury, from any other person, such sums in sterling as the Corporation may require for—

Borrowing powers of the Corporation and publicly-owned companies.

- (a) meeting their obligations or exercising and performing their functions under this Act ; or
- (b) lending money temporarily to a publicly-owned company.

PART II

(2) The Corporation may borrow (otherwise than by way of temporary loan) from the Secretary of State, or, with his consent and the approval of the Treasury, from the Commission of the European Communities or the European Investment Bank, such sums in sterling as they may require for all or any of the following purposes—

- (a) the provision of money for meeting any expenses incurred by the Corporation or a publicly-owned company in connection with any works the cost of which is properly chargeable to capital ;
- (b) the provision of working capital required by the Corporation or a publicly-owned company ;
- (c) the acquisition under section 3 of this Act of any interests in, or property or rights of, a company or the formation under that section of a company ;
- (d) the lending of money to a publicly-owned company (otherwise than by way of temporary loan) ;
- (e) the repayment of any money borrowed by the Corporation ;
- (f) any other purpose for which capital moneys are properly applicable.

(3) The Corporation may, with the consent of the Secretary of State (which shall require the approval of the Treasury), borrow any sum in a currency other than sterling which they have power to borrow in sterling from the Secretary of State.

(4) A publicly-owned company may borrow from the Corporation such sums (whether in sterling or in any other currency) as the company may require for the purposes of its undertaking ; and it may—

- (a) with the consent of the Secretary of State and the Corporation, borrow by way of temporary loan from any other person any sum in sterling which it may so require ; and
- (b) with the consent of the Secretary of State and the Corporation (which shall require the approval of the Treasury), borrow by way of temporary loan any sum in a currency other than sterling which it may so require.

(5) A power to borrow any sum under this section is subject to the limit imposed by section 19 of this Act, and neither the Corporation nor a publicly-owned company shall have power to borrow money except in accordance with this section.

17.—(1) The Secretary of State may, with the approval of the Treasury, lend to the Corporation any sums which the Corporation have power to borrow under subsection (1) or (2) of section 16 of this Act.

PART II
Loans by the
Secretary of
State to the
Corporation
and release of
liability for
repayment.

(2) Any loans which the Secretary of State makes under this section shall be repaid to him at such times and by such methods, and interest thereon shall be paid to him at such rates and at such times, as he may, with the approval of the Treasury, from time to time direct.

(3) The Treasury may issue out of the National Loans Fund to the Secretary of State such sums as are necessary to enable him to make loans under this section.

(4) Any sums received by the Secretary of State under subsection (2) of this section shall be paid into the National Loans Fund.

(5) The Secretary of State may, with the consent of the Treasury, at such time or times as he may with the like consent determine, release the Corporation from their liability to repay the whole or any part of any sum borrowed by them before 1st March 1972 under section 19(2) of the Iron and Steel Act 1967 (long term loans corresponding to loans under section 16(2) of this Act) but not so as to reduce their total indebtedness in respect of the principal of sums so borrowed by more than £150 million.

1967 c. 17.

(6) The assets of the National Loans Fund shall be reduced by amounts corresponding to those which the Corporation cease to be liable to repay by virtue of subsection (5) above.

18.—(1) Subject to the limit imposed by section 19 of this Act, the Secretary of State may, with the approval of the Treasury, pay to the Corporation such sums as he thinks fit.

Other
public
investment
in the
Corporation.

(2) Any sums required by the Secretary of State for making payments under subsection (1) above shall be defrayed out of moneys provided by Parliament.

(3) The sum of £500 million shall be deemed to have been paid by the Secretary of State to the Corporation on 28th July 1967 under subsection (1) above.

(4) Once in each of the Corporation's financial years the Secretary of State may, after consultation with the Corporation and

PART II

with the approval of the Treasury, direct that a specified sum shall be deemed to have been paid by him to the Corporation under subsection (1) above, but any sum so specified in a direction given in any financial year shall not exceed the aggregate of the reserves, at the end of the Corporation's last preceding financial year, of the Corporation and the companies that were then in public ownership.

(5) The Corporation shall, as respects each of their financial years, be under obligation either—

(a) to make to the Secretary of State (within such reasonable period as he may determine beginning with the day on which a copy of the statement of the Corporation's accounts in respect of the year is sent to him in compliance with section 24(4) of this Act) a proposal for the payment by them to him of a dividend at a specified rate per cent. in respect of that year on the aggregate of—

(i) any sums paid by the Secretary of State to the Corporation under subsection (1) above; and

(ii) any sums deemed to have been so paid by virtue of subsection (3) or (4) above; or

(b) to satisfy him, within that period, that no dividend in respect of that year ought to be paid on that aggregate;

and, if the Corporation do not within that period make a proposal under paragraph (a) above, or such a proposal acceptable to the Secretary of State and the Treasury, and do not within that period satisfy the Secretary of State that no dividend in respect of that year ought to be paid on that aggregate, he may, with the approval of the Treasury and after consultation with the Corporation, direct them to pay to him such a dividend as aforesaid at such rate per cent. as he specifies.

(6) Where a proposal made in satisfaction of the obligation imposed by subsection (5) above is accepted by the Secretary of State or a direction is given under that subsection by him, a dividend on the aggregate to which the proposal or direction relates at the rate proposed or directed shall become payable by the Corporation to the Secretary of State on the expiration of the period of seven days beginning with the day next following that on which written notice of acceptance of the proposal is given to the Corporation or the direction is communicated to them in writing, as the case may be.

PART II

(7) Any sums received by the Secretary of State under subsection (6) above shall be paid into the Consolidated Fund.

19. The aggregate of the following shall not at any time exceed £2,000 million—

- (a) the amount outstanding in respect of the principal of any money borrowed under section 16 of this Act by the Corporation, other than money borrowed by them for the payment off of any part of their commencing capital debt, being the debt of £133,988,359.20 which the Corporation were treated as having assumed on 28th July 1967 ;
- (b) any sums paid by the Secretary of State to the Corporation under subsection (1) of section 18 of this Act (but not any sums deemed to have been so paid by virtue of subsection (3) or (4) of that section) ; and
- (c) the amount outstanding in respect of the principal of any money borrowed under section 16 of this Act by the publicly-owned companies, other than money borrowed by them from the Corporation.

20. The Secretary of State shall, as respects each financial year, prepare in such form and manner as the Treasury may direct an account of—

- (a) sums received by him under sections 17(2) and 18(6) of this Act ;
- (b) sums issued to him under section 17(3) of this Act ;
- (c) the disposal by him of any such sums respectively ; and
- (d) sums paid by him under subsection (1) of section 18 of this Act (but not sums deemed to have been so paid by virtue of subsection (3) or (4) of that section) ;

and shall send the account to the Comptroller and Auditor General not later than the end of November following the year ; and the Comptroller and Auditor General shall examine, certify and report on the account and lay copies of it, together with his report, before each House of Parliament.

21.—(1) The Treasury may guarantee, in such manner and Treasury on such conditions as they may think fit, the repayment of the principal of, and the payment of interest on, any sums which

PART II

the Corporation borrow from a person other than the Secretary of State.

(2) Immediately after a guarantee is given under this section, the Treasury shall lay a statement of the guarantee before each House of Parliament, and where any sum is issued for fulfilling a guarantee so given the Treasury shall, as soon as possible after the end of each financial year beginning with that in which the sum is issued and ending with that in which all liability in respect of the principal of the sum and in respect of interest thereon is finally discharged, lay before each House of Parliament a statement relating to that sum.

(3) Any sums required by the Treasury for fulfilling any guarantee under this section shall be charged on, and issued out of, the Consolidated Fund.

(4) If any sums are issued in fulfilment of any guarantee given under this section, the Corporation shall make to the Treasury, at such times and in such manner as the Treasury may from time to time direct, payments of such amounts as the Treasury may so direct in or towards repayment of the sums so issued, and payments of interest on what is outstanding for the time being in respect of sums so issued at such rate as the Treasury may so direct.

(5) Any sums received by the Treasury under subsection (4) above shall be paid into the Consolidated Fund.

Investment
powers of the
Corporation.

22.—(1) Any sums in the hands of the Corporation which are not immediately required for the purposes of their business may be invested in such manner as the Corporation think proper.

(2) Nothing in subsection (1) above shall be taken to authorise the Corporation to do, without the consent of, or otherwise than in accordance with the terms of any general authority given by, the Secretary of State, anything which may be done by them under section 3 of this Act only with such consent or in accordance with the terms of any such general authority.

Corporation's
financial year.

23. Each of the Corporation's financial years after the third shall, unless a different period is prescribed by order made by the Secretary of State, be a period beginning with the end of the last preceding financial year and ending—

(a) if the last day of March next following is a Saturday, with that day ; or

- (b) if not, with the Saturday which (whether falling in March or April) falls nearest to the last day of March next following.

PART II

24.—(1) The Corporation shall keep proper accounts and other records and shall prepare in such form as the Secretary of State may, with the approval of the Treasury, direct—

Accounts of the Corporation and audit.

- (a) in respect of each financial year, a statement of the accounts of the Corporation ;
 - (b) in respect of each financial year, a consolidated statement of accounts dealing with the state of affairs and profit or loss of the Corporation and the publicly-owned companies as a whole ; and
 - (c) in respect of a financial year as to which the Secretary of State, with the approval of the Treasury, directs that this paragraph shall have effect, a consolidated statement of accounts dealing with the state of affairs and profit or loss of the Corporation and (according as may be specified in the direction) their subsidiaries or such of them as may be so specified.
- (2) The Secretary of State may make regulations—
- (a) requiring that there shall be stated in, or in a note on or statement annexed to, the statement referred to in subsection (1)(a) above, such information as may be specified in the regulations relating to—
 - (i) bodies which, at a time so specified, are subsidiaries of the Corporation ; and
 - (ii) assets of the Corporation consisting of shares in, or amounts owing (whether on account of a loan or otherwise) from, such bodies ;
 - (b) requiring that there shall be so stated such information as may be so specified relating to—
 - (i) bodies corporate that are not at such time as aforesaid subsidiaries of the Corporation, in which shares are, at that time, to such extent as may be so specified, held by the Corporation ; and
 - (ii) assets of the Corporation consisting of shares in, or amounts owing (whether on account of a loan or otherwise) from, those bodies corporate ;
 - (c) requiring that there shall be so stated, in such form as may be so specified, the information supplied by the Corporation's subsidiaries in compliance with any provision of the enactments for the time being in force

PART II

relating to companies imposing on a company a requirement to supply information corresponding to any that may be required to be supplied by the Corporation by virtue of paragraph (b) above ;

- (d) determining the circumstances in which, for the purposes of any requirement imposed by virtue of paragraph (a) or (b) above, shares in, or amounts owing from, a body corporate are to be treated as being held by, or owing to, the Corporation ;
- (e) granting exemption in circumstances so specified from a requirement imposed by virtue of paragraph (a) or (b) above ;
- (f) making such provision supplementary to any requirement imposed by virtue of paragraph (a) or (b) above as the Secretary of State thinks necessary or expedient.

(3) The accounts of the Corporation shall be audited by auditors appointed by the Secretary of State, and a person shall not be qualified to be so appointed unless he is a member of one or more of the following bodies :—

The Institute of Chartered Accountants in England and Wales ;

The Institute of Chartered Accountants of Scotland ;

The Association of Certified Accountants ;

The Institute of Chartered Accountants in Ireland ;

Any other body of accountants established in the United Kingdom and for the time being recognised for the purposes of section 161(1)(a) of the Companies Act 1948 by the Secretary of State ;

1948 c. 38.

but a Scottish firm may be so appointed if each of the partners is qualified to be so appointed.

(4) So soon as the accounts of the Corporation have been audited, the Corporation shall send to the Secretary of State—

- (a) a copy of the statement referred to in subsection (1)(a) above and of any note or statement required by virtue of subsection (2) above to be placed thereon or annexed thereto, together with a copy of any report made by the auditors on the statement so referred to ;
- (b) copies of the accounts of each of the publicly-owned companies prepared in accordance with the Companies Act 1948 (as amended by any subsequent enactment, whether passed before or after the passing of this Act) and a copy of the report of the directors of each such company, but so that where group accounts within the

PART II

meaning of that Act are prepared by any company it shall not be necessary for a copy of the accounts of any subsidiary dealt with in those group accounts or of the report of the directors of the subsidiary to be sent to the Secretary of State ;

(c) a copy of the consolidated statement referred to in subsection (1)(b) above, together with a copy of any report made by the auditors on that statement ; and

(d) if the first-mentioned accounts are in respect of a financial year in respect of which the Corporation are required to prepare a consolidated statement of accounts under subsection (1)(c) above, a copy of that consolidated statement, together with a copy of any report made by the auditors on that statement.

(5) In subsection (4) above any reference to the report of the directors of a company is a reference to the report of the directors of the company which, by section 157 of the Companies Act 1948 c. 38, is required to be attached to every balance sheet of the company laid before it in general meeting.

(6) The Secretary of State shall lay a copy of every such statement, note, account and report before each House of Parliament.

(7) The Corporation shall keep at their principal office copies, which shall be available for inspection during business hours, of any statement of information supplied by the Corporation in compliance with a requirement imposed by virtue of subsection (2) above, and shall supply a copy of the statement to any person on demand and on payment of such reasonable charge as the Corporation may require.

PART III

IRON AND STEEL ARBITRATION TRIBUNAL

25.—(1) There shall continue to be a tribunal called the Iron and Steel Arbitration Tribunal (in this Act referred to as “the arbitration tribunal”) for the purpose of determining any question or dispute which under, or by virtue of, any provision of this Act, or of any regulations made under any such provision, is expressly required to be determined by arbitration under this Act or any matter in respect of which jurisdiction is given to the arbitration tribunal by virtue of any such provision.

(2) The arbitration tribunal shall, subject to subsection (9) below, hear and determine every question, dispute or matter referred to in subsection (1) above.

PART III

(3) Where any question, dispute or matter referred to in sub-section (1) above arises out of, or in connection with, the transfer of the securities of any company, or in connection with the recovery of assets of any company, or in connection with any transaction of any company then, if the principal place of business of the company, or the principal place at which the works comprised in the business are situated, as the case may be, is in Scotland, the proceedings before the arbitration tribunal in respect of that question, dispute or matter shall, subject to the provisions of this section, be treated as Scottish proceedings.

Any such proceedings are hereafter in this Part of this Act referred to as "Scottish proceedings".

(4) The arbitration tribunal shall, as the Lord Chancellor may direct, either sit as a single tribunal or sit in two or more divisions, and shall, for the hearing of any proceedings, be constituted as follows:—

- (a) one member, who shall be the president of the arbitration tribunal, shall be a barrister or solicitor, except that, in the case of Scottish proceedings, he shall be an advocate or solicitor who has practised in Scotland;
- (b) there shall be two other members of whom one shall be a person of experience in business and the other shall be a person of experience in finance.

(5) The members of the arbitration tribunal shall be appointed by the Lord Chancellor, except that any member or members appointed for the hearing of Scottish proceedings shall be appointed by the Lord President of the Court of Session.

(6) Any member appointed by the Lord President of the Court of Session shall only act in relation to Scottish proceedings.

(7) The members of the arbitration tribunal shall hold office for such period as may be determined at the time of their respective appointments and shall be eligible for reappointment, but—

- (a) a member may at any time by not less than one month's notice in writing to the Lord Chancellor, or the Lord President of the Court of Session, as the case may be, resign his office;
- (b) the Lord Chancellor, or the Lord President of the Court of Session, as the case may be, may declare the office of any member vacant on the ground that he is unfit to continue in his office;
- (c) if any member becomes bankrupt or makes a composition with his creditors his office shall thereupon become vacant.

PART III

(8) If by reason of illness or other infirmity any member of the arbitration tribunal becomes temporarily incapable of performing the duties of his office, the Lord Chancellor, or the Lord President of the Court of Session, as the case may be, shall appoint some other fit person to discharge his duties for any period not exceeding six months at one time, and the person so appointed shall, during that period, have the same powers as the person in whose place he was appointed.

(9) The arbitration tribunal may, at any stage in any proceedings before them, refer to a person or persons appointed by them for the purpose, for inquiry and report, any question arising in the proceedings, not being a question which in the opinion of the tribunal is primarily one of law, and the report of any such person or persons may be adopted wholly or partly by the tribunal and, if so adopted, may be incorporated in an order of the tribunal.

26.—(1) The arbitration tribunal shall be a court of record and have an official seal, which shall be judicially noticed, and any order of the tribunal shall be enforceable in England and Wales as if it were an order of the High Court. Procedure and enforcement of orders.

(2) The provisions of the Arbitration Act 1950 with respect to—

- (a) the administration of oaths and the taking of affirmations ;
- (b) the correction in awards of mistakes and errors ;
- (c) the summoning, attendance and examination of witnesses and the production of documents ; and
- (d) the costs of the reference and award ;

shall, with any necessary modifications, apply in respect of any proceedings before the arbitration tribunal, but except as provided in this subsection that Act shall not apply to any such proceedings.

(3) The arbitration tribunal may, and, if so ordered by the Court of Appeal, shall, state in the form of a special case for determination by the Court of Appeal any question of law which may arise before them.

(4) Subject to the provisions of this section, the procedure in, or in connection with, any proceedings before the arbitration tribunal shall be such as may be determined by rules to be made by the Lord Chancellor.

(5) In relation to Scottish proceedings, this section shall have effect subject to the following modifications—

- (a) for subsections (2) and (3) there shall be substituted the following subsections—

“(2) The arbitration tribunal shall have the like

PART III

powers for securing the attendance of witnesses and the production of documents, and with regard to the examination of witnesses on oath and the awarding of expenses, as if the arbitration tribunal were an arbiter under a submission.

(2A) An order of the arbitration tribunal may be recorded for execution in the books of Council and Session and may be enforced accordingly.

(3) The arbitration tribunal may, and, if so directed by the Court of Session, shall, state a case for the opinion of that Court on any question of law arising in the proceedings.

(3A) An appeal shall lie, with the leave of the Court of Session or of the House of Lords, from any decision of the Court of Session under this subsection, and that leave may be given on such terms as to costs or otherwise as the Court of Session or the House of Lords may determine.”;

(b) in subsection (4) for the reference to the Lord Chancellor there shall be substituted a reference to the Lord Advocate;

and in the case of any such proceedings, the tribunal shall, except in so far as for special reasons they think fit not to do so, sit in Scotland.

Transfer of proceedings between England and Scotland.

27.—(1) If, at any stage in any proceedings before the arbitration tribunal which would not otherwise fall to be treated as Scottish proceedings, the tribunal are satisfied that, by reason of the fact that questions of Scottish law arise or for any other reason, the proceedings ought thereafter to be treated as Scottish proceedings, the tribunal may order that they shall thereafter be so treated, and the provisions of this Part of this Act shall have effect accordingly.

(2) If, at any stage in any proceedings before the arbitration tribunal which would otherwise be treated as Scottish proceedings, the tribunal are satisfied that, by reason of the fact that questions of English law arise or for any other reason, the proceedings ought not to be treated as Scottish proceedings, they may make an order that the proceedings shall thereafter not be treated as Scottish proceedings, and the provisions of this Part of this Act shall have effect accordingly.

Staff and expenses of the arbitration tribunal.

28.—(1) The arbitration tribunal may, subject to the consent of the Minister for the Civil Service as to numbers, appoint such officers as they consider necessary for assisting them in the proper execution of their duties.

PART III

(2) There shall be paid to the members of the arbitration tribunal and to any such officer as aforesaid such remuneration (whether by way of salaries or fees) and such allowances as the Secretary of State may, with the approval of the said Minister, determine.

(3) There shall be paid to any person to whom proceedings are referred by the arbitration tribunal under section 25(9) of this Act for inquiry and report such remuneration (whether by way of salary or fees) and such allowances as the tribunal may, with the approval of the said Minister, determine.

(4) Any remuneration and allowances payable under subsection (2) or (3) above and any other expenses of the arbitration tribunal shall be defrayed in the first instance by the Secretary of State out of moneys provided by Parliament, but the amounts from time to time so paid by him shall be repaid on demand to the Secretary of State by the Corporation and shall be paid by him into the Consolidated Fund.

PART IV

MISCELLANEOUS AND GENERAL

29.—(1) If it appears to the Secretary of State that the processing of iron or steel by a process which, on 22nd March 1967, was not being applied by persons carrying on business in Great Britain, or was not, in his opinion, being so applied to a substantial extent, ought to be treated as included in Schedule 3 to this Act, he may, by order, provide that the processing of iron or steel by that process shall be deemed, for the purposes of this Act, to be included in that Schedule.

Power of the Secretary of State to extend definition of iron and steel activities.

(2) An order under subsection (1) above with respect to a process shall not be made by the Secretary of State except after consultation with—

- (a) the Corporation ;
- (b) such organisations as appear to him to be representative of the interests of persons carrying on business in Great Britain who apply that process ; and
- (c) such organisations as appear to him to be representative of the interests of persons employed in Great Britain in applying that process.

30. In planning and carrying out, or securing the planning and carrying out of, any programme of capital development or reorganisation of activities relating to carbonisation, the Corporation shall consult with the National Coal Board ; and, in planning and carrying out any such programme in respect of their activities relating to carbonisation, the National Coal Board such consent, oppose any Bill in Parliament or any such order.

Consultation with respect to carbonisation development between the Corporation and the National Coal Board.

PART IV

Power of the Secretary of State to require information from iron and steel producers.

31.—(1) For the purpose of obtaining forecasts reasonably required by him for the exercise and performance of his functions under this Act, the Secretary of State may, by notice in writing served on the producer, require an iron and steel producer (other than the Corporation or a publicly-owned company) to supply the Secretary of State with such forecasts with respect to his output of, and capacity to produce, such iron and steel products as may be specified in the notice; and any such notice may require any forecasts specified therein to be supplied in such manner and within such time as may be specified in the notice, and either periodically or on one occasion or more.

(2) A person who fails to satisfy an obligation to which he is subject by, or by virtue of, subsection (1) above shall, unless he proves that he had reasonable excuse for the failure, be guilty of an offence and liable, on summary conviction, to a fine not exceeding £50, or in the case of a second or subsequent conviction to a fine not exceeding £200.

False information.

32. A person who—

- (a) in purported compliance with a requirement imposed under any provision of this Act or of regulations under this Act to supply information, supplies any information which he knows to be false in a material particular or recklessly supplies any information which is so false; or
- (b) in purported compliance with a requirement so imposed to supply a copy of, or extract from, a book of account, record or document, supplies a document purporting to be such a copy or extract but which he knows to differ in a material particular from the book, record or document of which it purports to be a copy or, as the case may be, from the passage in which it purports to consist, or recklessly supplies a document purporting to be such a copy or extract but which so differs;

shall be guilty of an offence and shall be liable—

- (i) on summary conviction, to imprisonment for a term not exceeding three months or to a fine not exceeding £100, or to both;
- (ii) on conviction on indictment, to imprisonment for a term not exceeding two years or to a fine, or to both.

Restriction of disclosure of information.

33.—(1) No information obtained under this Act shall be disclosed except—

- (a) with the consent of the person by whom it was supplied or, as the case may be, carrying on the undertaking

PART IV

or business to which the books, records or other documents from which it was obtained related ; or

- (b) in the form of a summary of information supplied by, or obtained from documents relating to undertakings or businesses carried on by, a number of persons, being a summary so framed as not to enable particulars relating to the business of individual persons to be ascertained therefrom ; or
- (c) for the purpose of enabling the Corporation or the Secretary of State to discharge their or his functions under this Act ; or
- (d) with a view to the institution of, or otherwise for the purposes of, any criminal proceedings pursuant to, or arising out of, this Act.

(2) Nothing contained in a forecast obtained under this Act shall be disclosed except—

- (a) with the consent of the person by whom the forecast was supplied ;
- (b) in the form of a summary of forecasts supplied by a number of persons, being a summary framed as mentioned in subsection (1)(b) above ;
- (c) for such a purpose as is mentioned in subsection (1)(c) above ; or
- (d) as mentioned in subsection (1)(d) above.

(3) If a disclosure is made by a person in contravention of subsection (1) or (2) above he shall be guilty of an offence and liable—

- (a) on summary conviction, to imprisonment for a term not exceeding three months or to a fine not exceeding £100, or to both ;
- (b) on conviction on indictment, to imprisonment for a term not exceeding two years or to a fine, or to both.

34.—(1) Where an offence under section 32 or 33 of this Act ^{Offences by} which has been committed by a body corporate is proved to ^{bodies} have been committed with the consent or connivance of, ^{corporate.} or to be attributable to any neglect on the part of, a director, manager, secretary or other similar officer of the body corporate, or any person who was purporting to act in any such capacity, he, as well as the body corporate, shall be guilty of that offence and shall be liable to be proceeded against accordingly.

(2) In subsection (1) above “director” in relation to the Corporation or any other body corporate established by or

PART IV

under an enactment for the purpose of carrying on under national ownership an industry or part of an industry or undertaking, being a body corporate whose affairs are managed by the members thereof, means a member of the Corporation or that other body corporate, as the case may be.

Service of documents.

35. Any notice authorised to be served under section 31 of this Act, or any other document required or authorised to be given, delivered or served by or under any regulations made under, or having effect by virtue of, this Act may, without prejudice to any provisions in that behalf of any such regulations, be given, delivered or served either—

- (a) by delivering it to the person to whom it is to be given or delivered or on whom it is to be served ; or
- (b) by leaving it at the usual or last known address of that person ; or
- (c) by sending it in a prepaid letter addressed to that person at his usual or last known address ; or
- (d) in the case of an incorporated company or body or the arbitration tribunal, by delivering it to the secretary or clerk of the company, body or tribunal at their registered or principal office or sending it in a prepaid letter addressed to the secretary or clerk of the company, body or tribunal at that office ; or
- (e) if it is not practicable after reasonable enquiry to ascertain the name or address of a person to whom it should be given or delivered, or on whom it should be served, as being a person having any interest in premises, by addressing it to him by the description of the person having that interest in the premises (naming them) to which it relates, and delivering it to some responsible person on the premises, or affixing it, or a copy of it, to some conspicuous part of the premises.

Regulations, orders and rules.

36.—(1) Any power conferred by this Act to make regulations, any power conferred by this Act to make an order, and the power conferred by section 26(4) of this Act to make rules shall be exercisable by statutory instrument.

(2) A statutory instrument which contains an order under section 4(5), 6(3) or 23 of this Act, or any regulations or rules (except regulations under Schedule 4 to this Act), shall be subject to annulment in pursuance of a resolution of either House of Parliament.

(3) No order shall be made under section 14(7) or 29(1) of this Act, and no regulations shall be made under paragraph

2 of Schedule 4 to this Act, unless a draft thereof has been laid before Parliament and has been approved by resolution of each House of Parliament.

PART IV

(4) No order shall be made under section 12(1) or (3) of this Act unless a draft thereof has been laid before Parliament.

(5) The power conferred by each of sections 4(5), 6(3) and 23 of this Act to make an order shall include power, exercisable in the like manner, to vary or revoke an order.

37.—(1) In this Act—

Interpretation.

- “the arbitration tribunal” has the meaning assigned by section 25(1) of this Act ;
- “company” means a company within the meaning of the Companies Act 1948 and a body incorporated by 1948 c. 38. royal charter ;
- “consumer”, in relation to any products, means a person who uses those products for manufacturing purposes or is engaged in the merchanting of those products ;
- “the Corporation” has the meaning assigned by section 1(1) of this Act ;
- “emoluments” includes any allowances, privileges or benefits, whether obtaining legally or by customary practice ;
- “financial year”—
 - (a) in relation to the Corporation, means the period prescribed by or under section 23 of this Act ; and
 - (b) in relation to any publicly-owned company, means the period for which the accounts of the company are made up for the purpose of being laid before its annual meeting whether that period is a year or not ;
- “functions” means duties and powers ;
- “iron and steel activities” means the activities described in Schedule 3 to this Act ;
- “iron and steel producer” means a person carrying on in Great Britain a business comprising any iron and steel activities ;
- “iron and steel products” means products of any iron and steel activities ;
- “iron ore” means ore containing not less than one fifth part by weight of iron ;
- “manufacturing purposes” includes the carrying out of building operations and works of construction or civil

PART IV

engineering and the treatment of products by any process ;

“pension”, in relation to any person, means a pension, whether contributory or not, of any kind whatsoever payable to, or in respect of, him, and includes a gratuity so payable and a return of contributions to a pension fund, with or without interest thereon or any other addition thereto ;

“products”, in relation to any activities, means the direct products of those activities and does not include any by-products thereof ;

“publicly-owned company” means a company which for the time being qualifies for inclusion in any group of bodies corporate as respects which the following conditions are for the time being fulfilled—

(a) every body corporate of the group is either the Corporation or a subsidiary of the Corporation ; and

(b) every member of every company in the group is either the Corporation or another company in the group or a nominee of the Corporation or of a company in the group ;

and “public ownership”, in relation to any company, shall be construed accordingly ;

1948 c. 38.

“subsidiary” shall be construed in accordance with section 154 of the Companies Act 1948, and “wholly-owned subsidiary” shall be construed in accordance with section 150(4) of that Act ;

“works” means—

1961 c. 34.

(a) any factory (within the meaning of the Factories Act 1961) ;

(b) any mine or quarry ; or

(c) any premises used by way of trade or business for the purposes of the storage, transport or distribution of any articles or for the supply of electricity or other forms of power ;

together with any machinery or equipment installed in any factory, mine, quarry or premises as aforesaid and any land occupied for the purposes thereof, but does not include any factory, mine, quarry, premises or land outside Great Britain.

(2) Reference in this Act to a person employed by a company does not include reference to a director of the company whose

functions are not substantially those of a managing director or an employee. PART IV

(3) References in this Act to any other enactment shall be construed as references to that enactment as amended by or under any other enactment, including this Act.

38.—(1) The transitional provisions and savings in Schedule 6 to this Act shall have effect. Transitional provisions, savings, amendment and repeals.

(2) In section 15(1) of the Mineral Workings Act 1951 (the making of regulations modifying sections 1 to 14 of that Act in their application to publicly-owned companies), for the words "the Iron and Steel Act 1949" there shall be substituted the words "the Iron and Steel Act 1975". 1951 c. 60.

(3) Subject to the provisions of the said Schedule 6, the enactments specified in Schedule 7 to this Act are hereby repealed to the extent specified in the third column of that Schedule.

(4) The inclusion in this Act of any express transitional provision, saving or amendment shall not be taken as prejudicing the operation of section 38 of the Interpretation Act 1889 (effect of repeals). 1889 c. 63.

39.—(1) This Act may be cited as the Iron and Steel Act 1975. Short title, extent and commencement.

(2) Without prejudice to the capacity of the Corporation under section 3 of this Act, the following provisions only of this Act shall extend to Northern Ireland—

sections 12(1) and (2), 13(3) and (4), 36(1) and (4), 37 and 38(1), (3) and (4) and this section, paragraphs 1 to 3 and 10 of Schedule 6 and Schedule 7.

(3) This Act shall come into force at the expiration of the period of one month beginning with the day on which it is passed.

SCHEDULES

Section 1.

SCHEDULE 1

PROVISIONS AS TO THE CORPORATION

Deputy chairman

1. The Secretary of State may appoint one or more members of the Corporation to be deputy chairman or deputy chairmen of the Corporation.

Terms of office of members

2.—(1) Every member of the Corporation shall hold and vacate his office in accordance with the terms of his appointment and shall, on ceasing to be a member, be eligible for re-appointment.

(2) Any member may at any time by notice in writing to the Secretary of State resign his office.

3.—(1) Before appointing a person to be a member of the Corporation, the Secretary of State shall satisfy himself that that person will have no such financial or other interest as is likely to affect prejudicially the exercise or performance by him of his functions as a member of the Corporation.

(2) The Secretary of State shall from time to time satisfy himself with respect to every member of the Corporation that he has no such interest as is referred to in sub-paragraph (1) above.

(3) Any person whom the Secretary of State proposes to appoint as, and who has consented to be, a member of the Corporation, and any member of the Corporation, shall, whenever requested by the Secretary of State to do so, supply him with such information as the Secretary of State considers necessary for the performance by the Secretary of State of his duties under this paragraph.

4.—(1) A member of the Corporation who is in any way directly or indirectly interested in a contract made or proposed to be made by the Corporation, or in any contract made or proposed to be made by a subsidiary of the Corporation, which is brought up for consideration by the Corporation, shall, as soon as possible after the relevant circumstances have come to his knowledge, declare the nature of his interest—

- (a) if he is the chairman, to the Secretary of State ;
- (b) if he is not the chairman, to the chairman ;
- (c) in any case, at a meeting of the Corporation.

(2) After a member has made a declaration under sub-paragraph (1) above in respect of any contract he shall not take part in any deliberation or decision of the Corporation with respect to the contract.

(3) A declaration made in pursuance of sub-paragraph (1)(c) above shall be recorded in the minutes of the Corporation.

Meetings and proceedings

SCH. 1

5. The Corporation may act notwithstanding a vacancy among their members.

6.—(1) The quorum of the Corporation shall be such number as the Corporation may from time to time determine, being—

- (a) not less than five if the number of the members of the Corporation exceeds ten ; and
- (b) not less than three if the number of the members does not exceed ten.

(2) Where any member is disqualified from taking part in any deliberation or decision of the Corporation with respect to any matter he shall be disregarded for the purpose of constituting a quorum of the Corporation for deliberating on or deciding that matter.

(3) Subject to the foregoing provisions of this paragraph the Corporation may regulate their own procedure.

Remuneration, pensions, etc. of members

7. The Corporation—

- (a) shall pay to their members such remuneration (whether by way of salaries or fees) and such allowances as the Secretary of State may, with the approval of the Minister for the Civil Service, determine ; and
- (b) as regards any members in whose case the Secretary of State may, with the approval of the said Minister, so determine, shall make provision for, or pay to or in respect of them, such pensions as may be so determined.

8. If—

- (a) a determination by the Secretary of State under paragraph 7 above involves any departure from the terms of the statement of the remuneration and allowances payable to the members of the Corporation first laid before each House of Parliament under section 1(10) of the Iron and Steel 1949 c. 72. Act 1949, as having effect in accordance with section 1(6) of the Iron and Steel Act 1967 ; or 1967 c. 17.
- (b) a determination by him under that paragraph relates to the payment of, or to payment towards the provision of, a pension to, or in respect of, any member of the Corporation ;

the Secretary of State shall as soon as possible after the determination lay a statement thereof before each House of Parliament.

Compensation for loss of office

9. Where a person ceases, otherwise than on the expiry of his term of office, to be a member of the Corporation, and it appears to the Secretary of State that there are special circumstances which

- SCH. 1 make it right that that person should receive compensation, the Secretary of State may, with the approval of the Minister for the Civil Service, require the Corporation to make to that person a payment of such amount as may be determined by the Secretary of State with the like approval.

Officers

10. The Corporation shall appoint a secretary and may appoint such other officers and such servants as they may determine.

Sealing of instruments

11. The fixing of the seal of the Corporation shall be authenticated by the signature of the secretary of the Corporation or of some other person authorised, either generally or specially, by the Corporation to act for that purpose.

12. Every document purporting to be an instrument issued by the Corporation and to be sealed as aforesaid or signed on behalf of the Corporation shall be received in evidence and be deemed to be such an instrument without further proof unless the contrary is shown.

Section 5.

SCHEDULE 2

INFORMATION RESPECTING CLASSES OF BUSINESS

1. This Schedule applies to business of a kind which consists wholly or mainly in activities other than iron or steel activities and, for the purposes of this Schedule, classes of business that do not differ substantially from each other shall be treated as one class of business.

2.—(1) If a body in the group consisting of the Corporation and the publicly-owned companies has, in the course of a financial year of the body ending after such date as the Secretary of State may determine for the purposes of this paragraph, carried on business of a kind to which this Schedule applies or business of that kind of two or more classes, the Corporation shall determine the amount of the turnover of the body for that financial year in respect of business of that kind or of each of those classes, as the case may be.

(2) Where the amount of that turnover in respect of business of that kind or of any of those classes, as the case may be, is determined by the Corporation to have exceeded £250,000, there shall be contained, in the report which the Corporation are required to make under section 5(4) of this Act (being, if the body referred to in subparagraph (1) above is the Corporation, the report which they are so required to make next after the end of the financial year therein referred to and, if the body is a publicly-owned company, the report which the Corporation are so required to make next after the end of the financial year of the Corporation with or within which the first-mentioned financial year ends), a statement of—

- (a) the amount of that turnover ;

SCH. 2

- (b) the extent or approximate extent (expressed, in either case, in monetary terms), as determined by the Corporation, to which the carrying on by the body of business of that kind or class, as the case may be, contributed to, or restricted, the profit or loss of the body for the financial year of the body before taxation ;
- (c) the extent or approximate extent, as so determined, to which capital moneys were, in the course of that financial year, employed in the carrying on by the body of business of that kind or class, as the case may be ; and
- (d) such further information, if any, relating to the carrying on by the body of business of that kind or class, as the case may be, as the Secretary of State may from time to time direct.

3.—(1) If, in the course of a financial year of the Corporation ending after such date as the Secretary of State may determine for the purposes of this paragraph, any two or more bodies in the group consisting of the Corporation and the publicly-owned companies have carried on business of a kind to which this Schedule applies or business of that kind of two or more classes, the Corporation shall determine the amount of the turnover of those bodies as a whole for that financial year in respect of business of that kind or of each of those classes, as the case may be.

(2) Where the amount of that turnover in respect of business of that kind or of any of those classes, as the case may be, is determined by the Corporation to have exceeded £1,000,000, there shall be contained, in the report which the Corporation are required to make under section 5(4) of this Act next after the end of the financial year referred to in sub-paragraph (1) above, a statement of—

- (a) the amount of that turnover ;
- (b) the extent or approximate extent (expressed, in either case, in monetary terms), as determined by the Corporation, to which the carrying on by the bodies therein referred to of business of that kind or class, as the case may be, contributed to, or restricted, the profit or loss of the Corporation and the publicly-owned companies as a whole for that financial year ;
- (c) the extent or approximate extent, as so determined, to which capital moneys were, in the course of that year, employed in the carrying on by those bodies as a whole of business of that kind or class, as the case may be ;
- (d) such further information, if any, relating to the carrying on by those bodies of business of that kind or class, as the case may be, as the Secretary of State may from time to time direct.

4. Each report made by the Corporation under section 5(4) of this Act after they are required to make a determination in pursuance of paragraph 2 or 3 above shall contain a statement of the method or, if more than one method is used, of each method, by which turnover is determined by the Corporation for the purposes of that

SCH. 2

paragraph ; and, in any such report containing a statement made in pursuance of either of those paragraphs, there shall be stated with respect to each matter involving a determination by the Corporation (other than the determination of an amount of turnover) the method by which that determination is arrived at.

5. The method used in arriving at a determination in any case for the purposes of paragraph 2(2)(c) above, and that used in arriving at a determination in any case for the purposes of paragraph 3(2)(c) above, shall be such as, when examined in conjunction with the determination made, in the first-mentioned case, in pursuance of paragraph 2(2)(b) above and that made, in the second-mentioned case, in pursuance of paragraph 3(2)(b) above, will give a true and fair view of the relationship in those cases respectively between capital employed and profits made or loss incurred.

6. The Corporation shall not be required, by virtue of this Schedule, to supply information which is supplied in any statement, note, account or report sent by the Corporation to the Secretary of State in pursuance of section 24(4) of this Act, or in any statistics or return published in pursuance of a direction given under section 6(4) of this Act.

7. The Secretary of State may from time to time direct that this Schedule, or a provision thereof, shall not apply to business of a class or description specified in the direction ; and if the Secretary of State gives a direction under this paragraph, that fact, and the class or description of business to which the direction relates, shall be stated in each report made under section 5(4) of this Act so long as that direction is in force.

8. The Secretary of State may from time to time vary the amount by reference to which it is to be determined, under paragraph 2 or 3 above, whether a statement is to be contained in a report, and may fix different amounts under this paragraph for different purposes.

Sections 6, 29
and 37.

SCHEDULE 3

IRON AND STEEL ACTIVITIES

1. The quarrying or mining of iron ore or the treatment or preparation of iron ore for smelting.

2. The smelting of iron ore in a blast furnace with or without other metalliferous materials, or the production of iron by any other process.

3. The production of steel by any process.

4. The casting of iron or steel by any process.

5. The rolling, with or without heat, of any iron and steel products for the purpose of reducing the cross-sectional area thereof.

6. The production, with or without heat, of iron or steel forgings, but not including—

(a) smiths' hand forging ;

(b) the production of bolts, nuts, screws, rivets or springs ;

(c) drop forging or any other stamping or pressing involving the use either of a die conforming to the shape of the final

product of the stamping or pressing, or of a series of dies one of which so conforms ;

SCH. 3

- (d) the hammering or pressing of any part or component of plant or machinery carried out incidentally to, and by the persons engaged in, the manufacture or repair of the plant or machinery in which the part or component is to be incorporated.

7. The production from iron or steel of bright bars or of hot-finished tubes or of hot-finished pipes.

8. The production of tinplate or terneplate.

The production of pig iron and the production of steel in the form of ingots, slabs, blooms or billets shall be deemed not to fall within paragraph 4 of this Schedule but to fall within paragraph 2 or 3 thereof, as the case may be.

SCHEDULE 4

Section 8.

PENSION RIGHTS AND COMPENSATION OF EMPLOYEES

Provisions as to pension rights

1.—(1) The Secretary of State may make regulations for all or any of the following purposes—

- (a) for providing pensions to, or in respect of, persons who are or have been employed by the Corporation or the Iron and Steel Board or a company which has come into public ownership ;
- (b) for the establishment and administration of pension schemes and pension funds for the purposes of paragraph (a) above ;
- (c) for the continuance, amendment, repeal or revocation of existing pension schemes relating to the like purposes, whatever the date on which they came into force, and of enactments relating thereto and of trust deeds, rules or other instruments made for the purposes thereof ;
- (d) for the transfer in whole or in part, or for the extinguishment, of liabilities under any such existing pension schemes ;
- (e) for the transfer in whole or in part, or winding up, of pension funds held for the purposes of any such existing pension schemes ; and
- (f) for making any provision consequential on any such provision as aforesaid, including provision for the dissolution or winding up of bodies, whether incorporated or not, whose continued existence is unnecessary having regard to the regulations.

(2) Nothing in sub-paragraph (1)(b) to (e) above shall be taken to authorise the diversion of any funds referred to therein to purposes other than those of sub-paragraph (1)(a) above.

(3) Where provision is made by any such regulations for—

- (a) the amendment, repeal or revocation of any existing pension scheme, or of any enactment relating thereto, or any

SCH. 4

trust deed, rules or other instrument made for the purposes thereof ; or

(b) for the transfer or extinguishment of any liability under any pension scheme ; or

(c) for the transfer or winding up of any pension fund held for the purposes of any such scheme ;

the regulations shall be so framed as to secure that persons having pension rights under the scheme, whether or not they are persons mentioned in sub-paragraph (1)(a) above, are not placed in any worse position by reason of the amendment, repeal, revocation, transfer, extinguishment or winding up.

(4) Sub-paragraph (3) above shall have effect subject to such limitations as the Secretary of State may by regulations prescribe for meeting cases in which, in connection with any provision made by the Iron and Steel Act 1949 or the Iron and Steel Act 1967, or in anticipation of the making of any provision by the said Act of 1967, pension rights were created otherwise than in the ordinary course.

1949 c. 72.
1967 c. 17.

(5) Regulations made under this paragraph shall not be invalid by reason that they do not secure that persons having pension rights are not placed in any worse position by reason of any such amendment, repeal, revocation, transfer, extinguishment or winding up as is mentioned in sub-paragraph (3) above, but if the Secretary of State is satisfied, or it is determined as hereinafter mentioned, that any such regulations have failed to secure that result, the Secretary of State shall as soon as possible make the necessary amending regulations.

Any dispute arising as to whether or not the said result has been secured by any regulations made under this paragraph shall be referred to, and determined by, an industrial tribunal.

(6) Where, by reason of any such amendment, repeal, revocation, transfer, extinguishment or winding up as is mentioned in sub-paragraph (3) above, loss is suffered by any person (not being a publicly-owned company) liable as an employer to make contributions, or to pay pensions, under the existing pension scheme in question, the Corporation shall pay compensation to that person in respect of that loss, and the amount thereof shall, in default of agreement between the Corporation and that person, be determined by arbitration under this Act.

(7) Without prejudice to the generality of the foregoing provisions of this paragraph, regulations made under this paragraph may contain provisions authorising the treatment of any person who, being a participant in any pension scheme to which the regulations relate, becomes a member of the Corporation as if his service as a member of the Corporation were service as an employee of the Corporation, and the pension rights of any such person resulting from the operation of any such provision shall not be affected by the provisions of paragraph 7(b) of Schedule 1 to this Act which require that the pensions, if any, which are to be paid in the case of certain members of the Corporation are to be determined by

the Secretary of State with the approval of the Minister for the Civil Service.

SCH. 4

(8) Regulations made under this paragraph may contain such supplementary and consequential provisions as the Secretary of State thinks necessary, including provisions as to the manner in which questions arising under the regulations are to be determined and provisions adapting, modifying or repealing enactments, whether of general or special application.

(9) Regulations made under this paragraph may be made so as to have effect from a date prior to their being made, but so much of any regulations as provides that any provision is to have effect from such a prior date shall not place any person, other than the Corporation or a publicly-owned company, in a worse position than he would have been if the regulations had been made to have effect only as from the date on which they were made.

Compensation to employees in connection with transfers

2.—(1) The Secretary of State shall by regulations require—

(a) the payment either by the Corporation or the company, in such cases and to such extent as may be specified in the regulations, of compensation to persons employed by any company whose securities vested in the Corporation by virtue of the Iron and Steel Act 1949 or the Iron and Steel Act 1967 or any company which came into public ownership on the date on which those securities so vested and in consequence of that vesting, being persons who suffer loss of employment or loss or diminution of emoluments or pension rights in consequence of—

(i) the company becoming a publicly-owned company ; or

(ii) effect being given to a direction given by the Secretary of State by virtue of section 7(2) of the said Act of 1967 or section 4(2) of this Act ; or

(iii) effect being given to conclusions reported to the Secretary of State under section 4 of the said Act of 1967 or section 5(1) of this Act ; and

(b) the payment by the Corporation, in such cases and to such extent as may be specified in the regulations, of—

(i) compensation to persons employed by the Iron and Steel Board who suffer loss of employment, or loss or diminution of emoluments or pension rights, in consequence of the dissolution of that board ; or

(ii) compensation to persons employed by the Corporation or a publicly-owned company who suffer loss of employment, or loss or diminution of emoluments or pension rights, in consequence of the making of an order under section 8 of the Iron and Steel Act 1969 or section 12(1) or (3) of this Act.

(2) Different regulations may be made under this paragraph in relation to different classes of persons.

SCH. 4

(3) Regulations made under this paragraph may be made so as to have effect from a date prior to their being made, but so much of any regulations as provides that any provision is to have effect from such a prior date shall not place any person, other than the Corporation or any company to whose employees they apply, in a worse position than he would have been if the regulations had been made to have effect only as from the date on which they were made.

(4) Regulations made under this paragraph—

- (a) shall prescribe the procedure to be followed in making claims for compensation, and the manner in which, and the person by whom, the question whether any or what compensation is payable is to be determined; and
- (b) shall in particular contain provisions enabling appeals from any determination as to whether any or what compensation is payable to be brought, in such cases and subject to such conditions as may be prescribed by the regulations, before an industrial tribunal.

Interpretation for Schedule

3. In this Schedule—

“pension fund” means a fund established for the purposes of paying pensions;

“pension rights” includes, in relation to any person, all forms of right to, or eligibility for, the present or future payment of a pension to, or in respect of, that person, and any expectation of the accruer of a pension to, or in respect of, that person under any customary practice, and includes a right of allocation in respect of the present or future payment of a pension;

“pension scheme” includes any form of arrangements for the payment of pensions, whether subsisting by virtue of an Act, trust, contract, or otherwise, and includes any customary practice under which pensions are paid.

Section 11.

SCHEDULE 5

CONSTITUTION AND PROCEEDINGS OF PUBLICLY-OWNED COMPANIES

Private companies

1948 c. 38.

1.—(1) Notwithstanding that it satisfies the conditions specified in section 28 of the Companies Act 1948, a publicly-owned company shall not be deemed to be a private company for the purposes of that Act.

(2) Where a company, on coming into public ownership, would be required in consequence of this paragraph to have an additional director, that requirement shall not take effect until three months after the company comes into public ownership.

Meetings

2. Notwithstanding anything in section 134 of the Companies Act 1948, or the company's articles of association, the Corporation may

call a meeting of a publicly-owned company, and there shall be deemed to be a quorum present at any meeting of such a company at which the Corporation is represented.

SCH. 5

3.—(1) The provisions of this paragraph apply in respect of any publicly-owned company all of whose securities are held by the Corporation.

(2) The obligation of the company under the Companies Act 1948, 1948 c. 38, or under the company's articles of association or otherwise, to hold an annual meeting may be discharged by the holding of a meeting of the Corporation summoned and held in such manner, and after such notice, as may be determined by the Corporation in regulating their procedure.

(3) Any power of the company which is by the Companies Act 1948, or by the company's articles of association or otherwise, required to be exercised by the company in general meeting (including a power required to be so exercised by special resolution, extraordinary resolution or a resolution requiring special notice), may be exercised by the Corporation at a meeting summoned and held as aforesaid.

(4) Where any power is exercised by the company in a case where, apart from this paragraph, special notice would be required and a copy of the notice would have to be sent to any person, the company shall give notice in writing to that person not less than twenty-eight days before exercising that power.

(5) Section 143 of the Companies Act 1948 (which provides for the registration of certain resolutions and agreements) shall apply to any resolution of the company which, but for this paragraph, would be a resolution to which that section applied.

(6) Section 14(7) of the Companies Act 1967 (which entitles auditors 1967 c. 81. of a company to attend and be heard at general meetings of the company and to receive notice thereof) shall apply to meetings of the Corporation held for the purpose of exercising their powers under this paragraph with respect to the affairs of the company.

Directors

4. Any provision in the memorandum or articles of association of a publicly-owned company requiring a director to hold a specified share qualification shall not have effect in the case of a publicly-owned company.

5. The power conferred on a company by section 184 of the Companies Act 1948 to remove a director before the expiration of his period of office notwithstanding anything in its articles of association or in any agreement between it and him, shall, in the case of a publicly-owned company, be extended so as to be exercisable notwithstanding anything in any agreement between the company and any person other than the director, and the proviso to subsection (1) of that section (which contains a saving for directors

- SCH. 5 of private companies holding office for life on 18th July 1945) shall not apply to directors of publicly-owned companies.

Alteration of memorandum

6. A publicly-owned company shall not, without the consent in writing of the Secretary of State, so alter the provisions of its memorandum of association or, as the case may be, charter of incorporation or other charter as to increase the activities which it is authorised to carry on.

1948 c. 38.

7. The power conferred by subsection (1) of section 23 of the Companies Act 1948 (which provides that a company may alter by special resolution any conditions contained in its memorandum which could lawfully have been contained in articles of association instead of in the memorandum) shall, in the case of a publicly-owned company, be exercisable notwithstanding the provisions of subsection (2) of that section (which provides that that section shall not apply where the memorandum itself provides for, or prohibits, the alteration of all or any of the said conditions and shall not authorise any variation or abrogation of the special rights of any class of members).

Reduction of capital

8. The power conferred by section 66 of the Companies Act 1948 on a company to reduce its share capital may, in the case of a publicly-owned company, be exercised by ordinary resolution, and any reduction so made shall not be subject to confirmation by the court, and in any such case—

- (a) section 69 of the Companies Act 1948 shall apply with the modification that, for any reference to an order of the court confirming the reduction of the share capital of a company, there shall be substituted a reference to a copy of the resolution of the company for reducing its share capital, and, for the reference to a minute approved by the court showing the particulars mentioned in that section, there shall be substituted a reference to a minute showing those particulars to the satisfaction of the registrar of companies ;
- (b) section 69(3) and (4) of the Companies Act 1948 shall not apply, but notice of the registration of the resolution by the registrar of companies shall be published in the London and Edinburgh Gazettes and the registrar shall certify under his hand the registration of the resolution, and his certificate shall be conclusive evidence that the share capital of the company is such as is stated in the resolution ; and
- (c) sections 67, 68, 70 and 71 of the Companies Act 1948 shall not apply.

Number of members

9. No petition shall be presented for the winding-up of a publicly-owned company on the ground that the number of its members is less than the number required by law, nor shall any person be liable

on that ground as a member of the company for the payment of any of its debts. SCH. 5

10. In this Schedule "special resolution", "extraordinary resolution" and "special notice" have the same meanings as in the Companies Act 1948.

1948 c. 38.

SCHEDULE 6

Section 38(1).

TRANSITIONAL PROVISIONS AND SAVINGS

PART I

GENERAL PROVISIONS

1. In so far as anything done under an enactment repealed by this Act could have been done under a corresponding provision of this Act, it shall not be invalidated by the repeal but shall have effect as if done under that provision.

2. Where any instrument or document refers, either expressly or by implication, to an enactment repealed by this Act, the reference shall, except where the context otherwise requires, be construed as, or as including, a reference to the corresponding provision of this Act.

3. Where any period of time specified in an enactment repealed by this Act is current at the commencement of this Act, this Act shall have effect as if the corresponding provision thereof had been in force when that period began to run.

PART II

MISCELLANEOUS PROVISIONS

Offences

4. For the purposes of the provisions of section 31 of this Act specifying penalties for a second or subsequent offence, a previous conviction under section 41 of the Iron and Steel Act 1967 in respect of a failure to satisfy an obligation arising under subsection (2) of that section shall be taken as an offence under the said section 31. 1967 c. 17.

Disclosure of information

5. Section 33 of this Act shall apply in relation to any information or forecast obtained under the Iron and Steel Act 1949, the Iron and Steel Act 1953 or the Iron and Steel Act 1967 as if such information or forecast, as the case may be, were obtained under this Act. 1949 c. 72. 1953 c. 15.

Mineral Workings Act 1951

1951 c. 60.

6. Section 15(1) of the Mineral Workings Act 1951 (regulations modifying sections 1 to 14 of that Act in their application to publicly-owned companies) shall, subject to the amendment by

SCH. 6
1967 c. 17.

section 38(2) of this Act, continue to have effect as amended by section 35 of the Iron and Steel Act 1967 notwithstanding the repeal by this Act of that section.

1966 c. 27.

Building Control Act 1966

7. The Schedule to the Building Control Act 1966 (list of bodies in whose case work carried out at their expense is exempt from control under that Act by virtue of section 5(1)(e) thereof) shall continue to have effect as amended by section 36 of the Iron and Steel Act 1967 notwithstanding the repeal by this Act of that section.

Fair Trading

1956 c. 68.

8.—(1) The provisions of this paragraph shall have effect for the purpose of applying provisions in Part I of the Restrictive Trade Practices Act 1956 to any agreement in force immediately before, and remaining in force on and after, 5th July 1968, being an agreement to which the said Part I applies as from that date and would have applied before that date but for the provisions of section 7(1) of that Act which had effect before that date.

(2) Any such agreement shall be treated, for the purposes of section 10 of the said Act of 1956 (particulars of agreements to be furnished to the Director General of Fair Trading) as having, on 5th July 1968, become subject to registration under the said Part I by virtue of section 9 of the said Act of 1956.

(3) For the purposes of the said section 10, the period within which particulars in respect of any such agreement as aforesaid are to be taken as having been required to be furnished to the said Director or are to be furnished to the said Director, as the case may be, shall be—

- (a) in the case of subsection (1) of that section, three months beginning with and including 5th July 1968; and
- (b) in the case of subsection (2) of that section, three months beginning with and including the date of the variation or determination of the agreement;

1968 c. 66.

and the reference to a specified period in those subsections (as having effect in accordance with section 6 of the Restrictive Trade Practices Act 1968) shall be construed accordingly.

Investment Grants

9.—(1) Where—

- (a) there has vested, or vests, in the Corporation an asset of a company which, on 30th April 1969, was in public ownership, being an asset in respect of which a grant might have been made to the company under section 1, 2 or 6 of the Industrial Development Act 1966 if—

1966 c. 34.

- (i) the asset had not vested in the Corporation; and
- (ii) in a case in which capital expenditure has been

incurred, or is incurred, by the Corporation with reference to the asset, that expenditure had been incurred by the company ; and

SCH. 6

- (b) the asset vested, or vests, under an order made under section 8 of the Iron and Steel Act 1969 or in pursuance of arrangements approved for the purposes of section 11 of that Act, or under an order made under section 12(1) of this Act or in pursuance of arrangements approved by the Secretary of State for the purposes of this paragraph ; 1969 c. 45.

the Secretary of State may make a grant to the Corporation of the same amount as that which he might have made to the company in those circumstances.

(2) Section 8 (conditions) of the said Act of 1966 shall have effect as if references therein to Part I of that Act included references to sub-paragraph (1) above.

10.—(1) Where—

- (a) there has vested, or vests, in the Corporation an asset of a company which, on 30th April 1969, was in public ownership, being an asset in respect of which a grant might have been made to the company under section 1, 2, 5 or 7 of the Industrial Investment (General Assistance) Act (Northern Ireland) 1966 if—

(i) the asset had not vested in the Corporation ; and

(ii) in a case in which capital expenditure has been incurred, or is incurred, by the Corporation with reference to the asset, that expenditure had been incurred by the company ; and

- (b) the asset vested, or vests, under an order made under section 8 of the Iron and Steel Act 1969 or in pursuance of arrangements approved for the purposes of section 12 of that Act, or under an order made under section 12(1) of this Act or in pursuance of arrangements approved by the Secretary of State for the purposes of this paragraph ;

the Department of Commerce for Northern Ireland may make a grant to the Corporation of the same amount as that which it might have made to the company in those circumstances.

(2) Section 10 (conditions) of the said Act of 1966 shall have effect as if references therein to that Act included references to sub-paragraph (1) above.

Government Stock

11.—(1) Any enactment and any regulation or rule relating to securities issued under the National Loans Act 1939 shall continue to apply to the three and a half per cent. Treasury Stock, 1979-1981, deemed to have been created and issued under that Act by section 21(3) of the Iron and Steel Act 1953, and the provisions of paragraph 14(1) to (3) of Schedule 1 to the said Act of 1953 and of paragraphs 23 to 25 of Schedule 7 to the Iron and Steel Act 1949 1949 c. 72. 1939 c. 117. 1953 c. 15.

SCH. 6

(transitional provisions and provisions relating to documents of title, stock held on trust governed by the law of Scotland and directions for payment of interest), shall continue to have effect in relation to that stock notwithstanding the repeal by this Act of the said section 21 and the said Schedules.

1953 c. 15. (2) Any provision of any deed, will, disposition or other instrument which immediately before 13th July 1953, was applicable to British Iron and Steel three and a half per cent. Guaranteed Stock, 1979-1981, shall continue to be applicable to that stock as renamed three and a half per cent. Treasury Stock, 1979-1981, in accordance with section 21(2) of the Iron and Steel Act 1953 notwithstanding the repeal by this Act of that section.

1949 c. 72. 12. Any provision of any deed, will, disposition or other instrument and any statutory provision as to what is to be done by the holder of any securities to which Part I or Part II of Schedule 4 to the Iron and Steel Act 1949 applied immediately before the commencement of this Act, or the redemption moneys of any such securities, shall, with any necessary modifications, continue to have effect in accordance with paragraph 4 of Part I or paragraph 6 of Part II, as the case may be, of the said Schedule—

(a) in the case of securities to which the said Part I applied, in relation to government stock substituted for those securities under that Part ; and

(b) in the case of securities to which the said Part II applied, in relation to rights conferred upon the holder of those securities by paragraph 2 of that Part to government stock and the payment of interest and in relation to government stock substituted for those rights under that Part ;

notwithstanding the repeal by this Act of the said Schedule 4.

1948 c. 49. 13. The power of the Treasury under section 74 of the Finance Act 1948, as extended by paragraph 8 of Part II of Schedule 4 to the Iron and Steel Act 1949 and section 10 of the Iron and Steel Act 1967, to direct that transfers of such rights as are referred to in paragraph 12(b) above shall be exempt from all stamp duties shall continue notwithstanding the repeal by this Act of the said Schedule 4 and section 10.

1967 c. 17. 14.—(1) The provisions of this paragraph shall have effect notwithstanding the repeal by this Act of section 26 of the Iron and Steel Act 1967 providing for the issue of stock in satisfaction of compensation payable in respect of the vesting of securities under that Act or of compensation payable under Schedule 6 to the Iron and Steel Act 1949, as having effect in accordance with section 13(1) of the said Act of 1967.

1968 c. 13. (2) The provisions of the said section 26, as amended by the
1970 c. 10. National Loans Act 1968, the Income and Corporation Taxes Act
1972 c. 65. 1970 and the National Debt Act 1972, shall continue to have effect in relation to—

(a) any subsisting and enforceable right to compensation which is so payable and has not been so satisfied ;

- (b) any subsisting right to repayment of stock so issued ; and SCH. 6
 (c) any stock so issued which has not been repaid.

(3) Without prejudice to the generality of sub-paragraph (2) above—

- (a) section 47 of the Finance Act 1942 (regulations as respects 1942 c. 21.
 the transfer and registration of stock and registered bonds
 of the descriptions specified in Part I of Schedule 11 to that
 Act), the Government Stock Regulations 1965 and para-
 graph 5 of Schedule 2 to the National Loans Act 1939 1939 c. 117.
 (definition of "Government stock") shall continue to have
 effect in accordance with subsections (7) and (8) of the said
 section 26 as so amended ; and
- (b) the power of the Treasury to make regulations under the
 said section 47 as extended by subsection (9) of the said
 section 26 shall continue to include the making of—
- (i) regulations, so as to have effect pending the registra-
 tion of stock issued in satisfaction of compensation pay-
 able under the said Act of 1967 in respect of the vesting
 of securities, providing for all or any of the matters for
 which provision was made by paragraphs 22 to 25 of
 Schedule 7 to the Iron and Steel Act 1949 ; and 1949 c. 72.
- (ii) regulations providing for the matter for which pro-
 vision was made by paragraph 28(3) of that Schedule ;
 and any such regulations in force at the commencement of
 this Act shall continue to have effect accordingly.

Iron and Steel (Compensation to Officers and Servants) Regulations

15.—(1) Regulations made, and in force at the commencement of
 this Act, under section 24 of the Iron and Steel Act 1953 (regula- 1953 c. 15.
 tions for the payment by the Corporation, as successors to the Iron
 and Steel Holding and Realisation Agency, of compensation to
 employees of companies) shall continue to have effect notwithstand-
 ing the repeal by this Act of that section.

(2) For the purpose of any revocation, amendment or variation of
 those regulations, the provisions of the said section 24 conferring
 powers upon the Secretary of State to make regulations thereunder,
 and the general provisions as to regulations of section 31 of the said
 Act of 1953, shall continue to have effect notwithstanding the repeal
 by this Act of those sections.

Agreements and legal proceedings of Iron and Steel Board

16. The provisions of section 27(3) of the Iron and Steel Act 1967 1967 c. 17.
 and of Part II of Schedule 2 to that Act (supplemental provisions
 relating to agreements and legal proceedings concerning the Iron
 and Steel Board) shall continue to have effect notwithstanding the
 repeal by this Act of those provisions.

SCH. 6 *Iron and Steel Holding and Realisation Agency (Dissolution) Order*1953 c. 15.
1967 c. 17.

17. Nothing in this Act shall affect the operation of the Iron and Steel Holding and Realisation Agency (Dissolution) Order 1967 made under section 25 of the Iron and Steel Act 1953 as amended by section 29 of the Iron and Steel Act 1967, and any notice given or other thing done before 28th July 1967 by the Iron and Steel Holding and Realisation Agency in relation to a company which was then in public ownership shall, if in force immediately before that date, continue to have effect and be deemed, as from that date, to have been given or done by the Corporation.

Section 38(3).

SCHEDULE 7

ENACTMENTS REPEALED

Chapter	Short Title	Extent of Repeal
12, 13 & 14 Geo. 6. c. 72.	The Iron and Steel Act 1949.	The whole Act so far as unrepealed.
1 & 2 Eliz. 2. c. 15.	The Iron and Steel Act 1953.	The whole Act so far as unrepealed.
1967 c. 17.	The Iron and Steel Act 1967.	The whole Act so far as unrepealed.
1968 c. 13.	The National Loans Act 1968.	In Schedules 1 and 5, the entries relating to the Iron and Steel Act 1967.
1969 c. 45.	The Iron and Steel Act 1969.	The whole Act so far as unrepealed.
1972 c. 12.	The Iron and Steel Act 1972.	The whole Act.
1972 c. 60.	The Gas Act 1972.	In Schedule 6, paragraph 4.
1973 c. 41.	The Fair Trading Act 1973.	In Schedule 12, the entry relating to the Iron and Steel Act 1967.
1973 c. 51.	The Finance Act 1973.	In Schedule 19, paragraph 15.
1974 c. 8.	The Statutory Corporations (Financial Provisions) Act 1974.	In Schedule 2, paragraph 8.
1975 c. 55.	The Statutory Corporations (Financial Provisions) Act 1975.	Section 3. In Schedule 2, the words "The British Steel Corporation and the publicly-owned companies for the purposes of the Iron and Steel Act 1967". In Schedule 4, the entry relating to the Iron and Steel Act 1967.